

PFD April 16

$$PV = FV/(1+R)^n$$

- PV = Present Value
- FV = Future Value
- R = Interest Rate
- N = Year
- PP = Payback Period (How long it takes to pay back investment) (Initial Investment/Cash Flow)
- ARR = Accounting Rate of Return
- NPV = Net Present Value
- IRR = Internal Rate of Return (Use Algorithm). A figure which says if the interest rate exceeds that then our project is no longer beneficial or profitable.